Stock Report | **October 28, 2023** | XTRA Symbol: **HEI GR**

Heidelberg Materials AG

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**	**Investment Style**
BUY ★★★★☆	EUR 67.70 (as of market close Oct 27, 2023)	EUR 83.00	EUR	Mid-Cap Value

Equity Analyst Adrian Ng, CFA

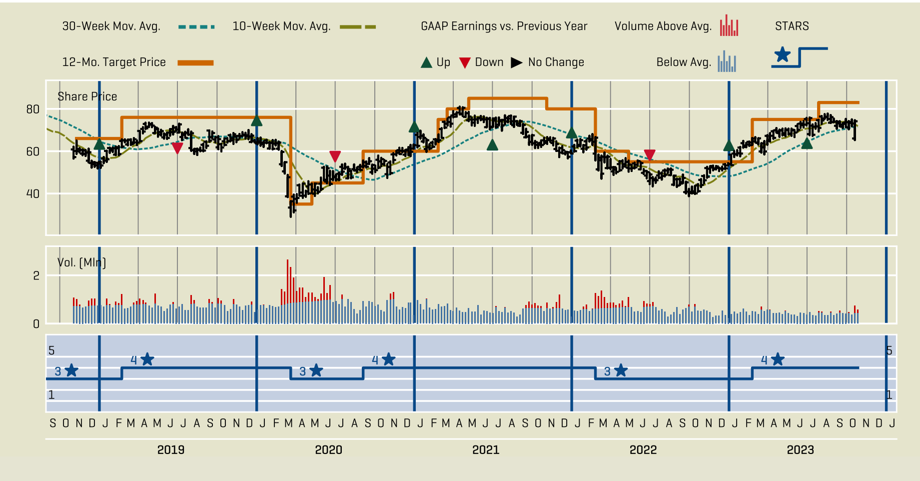
GICS Sector Materials
Sub-Industry Construction Materials

Summary Heidelberg Cement AG is a Germany-based and worldwide operating producer and distributor of cement, concrete, and building materials.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**EUR 77.78 - 44.87**	Oper.EPS2023**E**	**EUR 9.50**	Market Capitalization[B]	**EUR 12.6**	Beta	**1.63**
Trailing 12-Month EPS	**EUR 9.85**	Oper.EPS2024**E**	**EUR 10.00**	Yield [%]	**3.84**	3-yr Proj. EPS CAGR[%]	**NM**
Trailing 12-Month P/E	**6.87**	P/E on Oper.EPS2023**E**	**7.13**	Dividend Rate/Share	**EUR 2.6**	SPGMI's Quality Ranking	**B-**
EUR 10K Invested 5 Yrs Ago	**13,778.0**	Common Shares Outstg.[M]	**186.00**	Trailing 12-Month Dividend	**EUR 2.6**	Institutional Ownership [%]	**40.0**

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Adrian Ng, CFA** on Jul 31, 2023 08:09 AM ET, when the stock traded at **EUR 73.40**.

Highlights

- Heidelberg Materials (HEI) posted record results in 2022 as Group revenue grew 21% to an all-time high of EUR21.1 billion. We see more challenges to volume in 2023 as energy and raw material prices remain volatile, leading to unpredictable activity in the construction industry. H1 2023 revenues were up 8.5% to EUR10,473 million, driven largely by price adjustments in all business areas. Revenue grew in all operating regions on a LFL basis in Q2 2023 but at a slower pace vs. the double-digit growth in Q1 2023.
- HEI's H1 2023 EBITDA increased to EUR1,787 million (+21.3% LFL) as continuous cost management and the easing of energy and raw material costs improved profitability in an environment of high inflation and increasing interest rates which has led to a drop in construction activity, particularly in residential construction. This led to a 31% LFL EBIT increase to EUR1,189 million, better than expected. For 2023, HEI is guiding for EBIT between EUR2.7 billion and EUR2.9 billion, from the previous guidance of between EUR2.50 billion and EUR2.65 billion previously.
- Our 2023 EPS estimate is EUR9.50 (from EUR9.00) and 2024 EPS estimate is EUR10.00 (from EUR9.30).

Investment Rationale/Risk

- Our call is 4-STARS (Buy). The rapid spread of Covid-19 created near-term uncertainty for HEI, which saw some construction projects being put on hold in the major parts of its key markets. HEI experienced a severe volume drop in several countries from mid-March onwards, with significant demand decline in Italy, India, Malaysia, and Bangladesh. HEI's net debt as of end-Jun 2023 amounted to EUR6.7 billion, down about EUR100 million Y/Y. After a strong recovery in 2021 and 2022, HEI managed to maintain strong momentum going into 2023 despite an uncertain macroeconomic situation. We see some long-term benefits from HEI's cost savings and remain positive as HEI continues to perform amidst wider macro uncertainties.
- Downside risks include weaker infrastructure spending in key markets, increasing geopolitical tensions, and prolonged adverse weather conditions.
- Our 12-month target price of EUR83 implies a 2023 P/E of 8.7x, a level where it has been trading between 2018 to 2021, as we think the strong recovery story is offset by the threat of macroeconomic and geopolitical uncertainties.

Analyst's Risk Assessment

LOW | **MEDIUM** | HIGH

Our risk assessment reflects the cyclical nature of its businesses and high indebtedness. This is offset by efforts to focus on cost savings and reduce debt.

Revenue/Earnings Data

Revenue (Million EUR)

	1H	2H	Year
2024	--	--	**E** 22,000
2023	10,483	--	**E** 21,500
2022	9,959	11,206	21,095
2021	8,948	9,839	18,720
2020	8,260	9,402	17,606
2019	9,220	9,693	19,304

Earnings Per Share (EUR)

	1H	2H	Year
2024	--	--	**E** 10.00
2023	4.07	--	**E** 9.50
2022	2.76	5.78	8.45
2021	3.80	5.36	9.15
2020	-15.69	5.27	6.49
2019	1.12	4.54	5.66

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (EUR)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
2.6000	Mar 23	May 12	May 15	May 16 '23
2.4000	Mar 24	May 13	May 16	May 17 '22
2.2000	Mar 18	May 07	May 10	May 11 '21
0.6000	Mar 19	Jun 05	Jun 08	Jun 09 '20
2.1000	Mar 21	May 10	May 13	May 14 '19
1.9000	Mar 22	May 10	May 11	May 15 '18

Dividends have been paid since 2002 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Heidelberg Materials AG

Business Summary Jul 31, 2023

CORPORATE OVERVIEW: Heidelberg Materials (HEI, formerly Heidelberg Cement) is a vertically-integrated global building materials group operating in around 60 countries worldwide. HEI's activities can be split into four business lines: (i) Cement (~44% of revenue); (ii) Aggregates (~19%) – primary component in the production of concrete and asphalt; (iii) Ready-Mixed Concrete and Asphalt (~26%) - concrete is used in a wide range of applications while asphalt is used primarily in the building of traffic infrastructures like roads, walkways, and parking lots; and (iv) Services-Joint Venture (~11%). The Group changed its name in September 2022 to Heidelberg Materials to reflect its diversification to more building materials, beyond cement.

HEI's operation can also be divided into six Group areas, which include five geographical Group areas – Western & Southern Europe (~29% of revenue), Northern & Eastern Europe-Central Asia (17%), North America (27%), Asia-Pacific (17%), and Africa-Eastern Mediterranean Basin (10%). Its global trading activities are pooled together in the sixth Group area, Group Services.

(i) Western & Southern Europe - consists of operations in seven countries (the U.K., France, Germany, Belgium, the Netherlands, Italy, and Spain). The acquisition of Italcementi in 2016 expanded this geographical Group area to include France and Italy, as well as expanding HEI's existing position in Spain.

(ii) Northern & Eastern Europe-Central Asia - HEI is active in 21 countries in this Group area which includes Bulgaria, Greece, Kazakhstan, Russia, and Sweden.

(iii) North America - consists of operations in the U.S. and Canada. With the acquisition of Italcementi's North American subsidiary Essroc in July 2016, HEI managed to expand its footprint in the Northeast and Midwest of the U.S., as well as in the eastern part of Canada.

(iv) Asia-Pacific - consists of operations across ten countries (Australia, Bangladesh, Brunei, China, India, Indonesia, Malaysia, Singapore, Sri Lanka, and Thailand).

(v) Africa-Eastern Mediterranean Basin - consists of operations in 15 countries, including Egypt, Morocco, Turkey, and Mozambique.

(vi) Group Services - largely comprises the activities of its subsidiary HC Trading, one of the largest trading companies worldwide for cement, clinker, solid fuels, and other building materials.

HEI's strategy and targets are based on the following drivers: (a) Growth: focus on growth opportunities in key mature markets and emerging countries and intends to further strengthen the vertical integration in urban centers (e.g., combining production sites of different business lines in one production network, integrating business activities via shared sales structures); (b) Cost leadership: focus on cost-cutting program and leverage on the synergies from the acquisition of Italcementi; (c) Performance Culture & Local Responsibility: local management bears full responsibility for production, market, and management development, with the aim of market and cost leadership. They are supported by nationwide share service centers that handle administration for all business lines; (d) Sustainability: includes securing access to raw materials reserves with adequate lifetimes and introducing innovative production processes; (e) Capital Allocation-Shareholder Returns: intends to pursue a progressive dividend policy over the next few years.

FINANCIAL TRENDS: HEI recorded a five-year CAGR of 4% in revenue and 1.6% in EBITDA. In 2021 and 2022, years marked by inflationary pressures, HEI has been able to pass on a large amount of the added costs, but at a lesser rate versus peers.

HEI's net debt as of the end of 2022 amounted to EUR5.5 billion, up EUR500 million versus 2021. We see some long-term benefits from HEI's cost savings but remain neutral given macro uncertainties.

Corporate information

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Officers

Acting Director of Group Legal
W. Gärtner

CFO & Member of the Managing Board
R. S. Aldach

Chairman of Managing Board
D. von Achten

Board Members

B. Breuninger
B. Jochens
B. Scheifele
F. von Metzler
H. Schmitt
I. Ploss
J. D. Baker
J. F. Kirchhoff
J. Merceron-Vicat
K. Kronimus
L. Merckle
L. Mucic
M. A. Weissenberger-Eibl
M. Platschorre
M. Suckale
P. Riedel
P. Vanfrachem
S. Sury
W. Schraeder

Domicile
Germany

Auditor
PricewaterhouseCoopers LLP

Founded
1873

Employees
51,492

Stockholders
N/A

Heidelberg Materials AG

Quantitative Evaluations

Fair Value Rank	**NR**	1 · 2 · 3 · 4 · 5 (LOWEST – HIGHEST) Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).
Fair Value Calculation	**N/A**	
Volatility	**NA**	LOW · AVERAGE · HIGH
Technical Evaluation	**BULLISH**	Since July, 2023, the technical indicators for HEI GR have been BULLISH"
Insider Activity	**NA**	UNFAVORABLE · NEUTRAL · FAVORABLE

Expanded Ratio Analysis

	2022	2021	2020	2019
Price/Sales	0.48	0.63	0.69	0.68
Price/EBITDA	3.23	3.75	3.92	4.45
Price/Pretax Income	4.54	4.06	NM	7.89
P/E Ratio	6.27	6.51	NM	11.47
Avg. Diluted Shares Outstg. (M)	189.03	197.31	198.42	198.42

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	1 Year	3 Years	5 Years
Net Income	NM	13.54	11.71
Sales	12.66	3.82	4.06
Ratio Analysis (Annual Avg.)			
Net Margin (%)	7.54	1.60	3.37
% LT Debt to Capitalization	22.15	25.70	27.82
Return on Equity (%)	10.10	3.62	5.20

Company Financials Fiscal year ending Dec 31

Per Share Data (EUR)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	42.76	35.61	21.78	24.35	18.19	15.23	18.36	23.82	17.49	10.28
Free Cash Flow	5.74	4.48	10.37	7.48	4.57	5.05	4.32	2.88	2.87	1.63
Earnings	8.49	9.15	-10.42	5.66	5.83	4.88	3.42	4.45	3.54	3.27
Earnings (Normalized)	6.87	6.56	5.76	4.62	4.03	4.59	3.38	3.17	2.06	2.04
Dividends	2.60	2.40	2.20	0.60	2.10	1.90	1.60	1.30	0.75	0.60
Payout Ratio (%)	28.70	24.82	NM	38.20	32.98	34.60	37.18	17.61	23.16	11.97
Prices: High	68.08	81.04	66.44	73.52	96.16	94.09	94.59	77.18	68.66	60.89
Prices: Low	38.73	56.60	29.00	52.12	51.84	76.94	58.17	55.82	48.32	44.79
P/E Ratio: High	8.00	8.90	NM	13.00	16.50	19.30	27.70	17.40	19.40	18.60
P/E Ratio: Low	4.60	6.20	NM	9.20	8.90	15.80	17.00	12.60	13.70	13.70

Income Statement Analysis (Million EUR)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Revenue	21,166	18,787	17,662	18,914	18,138	17,351	15,242	13,532	12,684	12,202
Operating Income	2,089	2,140	2,042	1,789	1,605	1,766	1,630	1,549	1,347	1,255
Depreciation + Amortization	1,262	1,233	1,338	1,394	1,090	1,109	964.00	761.00	695.00	706.00
Interest Expense	151.00	221.00	268.00	348.00	325.00	368.00	462.00	472.00	591.00	559.00
Pretax Income	2,217	2,894	-1,602	1,633	1,764	1,688	1,148	1,313	931.00	1,022
Effective Tax Rate	21.90	32.70	-20.90	21.90	26.30	34.30	27.40	22.40	6.90	20.70
Net Income	1,597	1,759	NM	1,091	1,143	918.00	657.00	800.00	486.00	736.00
Net Income (Normalized)	1,298	1,294	1,143	915.80	800.00	911.60	653.30	596.40	386.40	381.80

Balance Sheet and Other Financial Data (Million EUR)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Cash	1,466	3,126	2,873	3,559	2,599	2,120	2,033	1,426	1,265	1,362
Current Assets	7,119	8,143	7,312	8,356	7,492	6,693	6,682	4,707	5,624	4,431
Total Assets	33,256	33,711	32,335	38,589	35,783	34,558	37,120	28,374	28,133	26,276
Current Liabilities	6,146	7,046	5,878	7,392	6,265	6,296	7,002	4,867	5,250	4,852
Long Term Debt	5,479	5,677	7,861	8,492	9,505	8,873	8,510	4,828	5,892	6,493
Total Capital	24,734	24,886	24,452	30,532	27,802	26,811	28,842	22,688	22,467	21,243
Capital Expenditures	1,300	1,484	922.00	1,135	1,037	1,019	1,012	884.00	924.00	842.00
Cash from Operations	2,420	2,396	3,027	2,664	1,968	2,038	1,874	1,449	1,480	1,167
Current Ratio	1.16	1.16	1.24	1.13	1.20	1.06	0.95	0.97	1.07	0.91
% Long Term Debt of Capitalization	22.20	22.80	32.10	27.80	34.20	33.10	29.50	21.30	26.20	30.60
% Net Income of Revenue	7.50	9.40	-12.10	5.80	6.30	5.30	4.30	5.90	3.80	6.00
% Return on Assets	3.90	4.05	3.60	3.01	2.85	3.08	3.11	3.43	3.10	2.89
% Return on Equity	10.10	12.50	-11.70	7.20	7.90	6.60	4.90	6.70	6.50	6.20

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Heidelberg Materials AG

Industry Outlook

We have an underweight view on EMEA Materials as industries face the effects of high interest rates and slower macroeconomic development in 2023. This follows the period of high inflation in 2022, though the Materials companies themselves have been able to pass on high cost prices down the supply chain. Prices have eased in 2023 as we expected, but volumes are not recovering as quickly due to the weaker macroeconomic conditions. For the end of 2023, we see some increase in prices, though volumes will remain lower.

The S&P Europe 350 Materials Index has underperformed the market in 2023 up to August 2023, down 0.9% vs. an 8.2% increase in the broader S&P Europe 350 Index during the same period.

For the Metals & Mining sub-sector, the growing concern over global economic growth remains a key risk to earnings in the short-term in our view – Global Copper Users PMI and Global Steel Users PMI improved slightly in August vs. July. However, this was solely driven by Asia as the U.S. saw a renewed deterioration in operating conditions while Europe declined further. We note ArcelorMittal (one of the largest steel producers) also lowered its forecast for global ex-China apparent steel demand growth in July to reflect the weaknesses in the U.S. and Europe markets (weakness in long products demand due to weak construction activity).

For the Construction Materials sub-sector, we expect growth to continue to be supported by infrastructure spending in the U.S. and, to a lesser extent, in Europe. However, other segments of construction will continue to be weak, as evident by the Eurozone construction PMI not having been in expansionary territory since April 2022. The weaker macroeconomic conditions make further recovery more questionable, in our opinion.

For the Chemical sub-sector, we continue to see growth recovery, particularly for the companies that are exposed to industries that have undergone major destocking in 2022, as volume growth outweighs pricing declines.

Overall, we are underweight on the industry due to the weaker macroeconomic condition despite the breadth of its end markets.

/ Adrian Ng, CFA

Sub-Industry: Construction Materials Peer Group*: Construction Materials

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Heidelberg Cement	**HEI GR**	**XTRA**	**EUR**	**67.70**	**12,615.0**	**-6.6**	**46.2**	**7.0**	**N/A**	**3.8**	**11.2**	**20.8**
Cemex SAB de CV	CEMEX CPO	N/A	N/A	10.78	164,844.0	-7.2	53.3	15.0	N/A	N/A	5.3	31.7
LafargeHolcim	HOLN SW	SWX	CHF	55.52	32,152.0	-5.3	28.3	15.0	N/A	4.5	12.4	30.1
Martin Marietta Materials	MLM	NYSE	USD	399.03	24,662.0	-2.7	20.8	26.0	N/A	0.7	13.5	33.8
Saint-Gobain	SGO FP	ENXTPA	EUR	51.44	26,263.0	-8.5	25.3	8.0	N/A	3.9	12.1	24.2
Vulcan Materials	VMC	NYSE	USD	193.69	25,735.0	-4.9	19.5	29.0	N/A	0.9	11.7	32.7

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Analyst Research Notes and other Company News

July 28, 2023
08:11 AM ET... CFRA Maintains Buy Opinion on Shares of Heidelberg Materials (HEI GR 73.40****):
We maintain our Buy opinion on shares of Heidelberg Materials with a higher target price of EUR83 (EUR75). This implies a 2023 P/E of 8.7x, a level where it had been trading between 2018 and 2021, as we think the strong recovery story is offset by the threat of macroeconomic and geopolitical uncertainties. Our 2023 EPS estimate is EUR9.50 (EUR9.00) and 2024 EPS estimate is EUR10.00 (EUR9.30). H1 2023 revenues were up 8.5% with growth in all operating regions on a LFL basis in Q2 2023 but at a slower pace vs. the double-digit growth in Q1 2023. HEI's H1 2023 EBITDA increased to EUR1,787 million (+21.3% LFL) on continuous cost management and the easing of energy and raw material costs. This led to a 31% LFL EBIT increase to EUR1,189 million, better than expected. For 2023, HEI is guiding for EBIT between EUR2.7 billion and EUR2.9 billion, from the previous guidance of between EUR2.50 billion and EUR2.65 billion. / Adrian Ng, CFA

May 12, 2023
10:29 AM ET... CFRA Maintains Buy Opinion on Shares of HeidelbergCement AG (HEI GR 67.64****):
We maintain our Buy opinion on shares of Heidelberg Materials with the same target price of EUR75. This implies a 2023 P/E of 8.3x, a level where it has been trading between 2018 and 2021, as we think the strong recovery story is offset by the threat of macroeconomic and geopolitical uncertainties. Our 2023 EPS estimate is EUR9.00 (EUR7.50) and our 2024 EPS estimate is EUR9.30 (EUR8.00). Q1 2023 revenues were up 13% to EUR4,896 million, driven largely by price adjustments in all business areas. Revenue grew double digits LFL in all operating regions in Q1 2023. Q1 2023 EBITDA was up 41.3% to EUR557 million with a 247 bps Y/Y improvement in the EBITDA on better pricing. For 2023, HEI is guiding for EBIT between EUR2.50 billion and EUR2.65 billion, upgrading from the previous guidance with the lower end at EUR2.35 billion. / Adrian Ng, CFA

February 24, 2023
01:22 AM ET... CFRA Raises Opinion on Shares of Heidelberg Materials to Buy from Hold (HEI GR 65.00****):
We raise our opinion on Heidelberg Materials (HEI) to Buy from Hold with a higher 12-month target price of EUR75 (from EUR55). This is a level where it has been trading between 2018 to 2021, as we think the strong recovery story is offset by the threat of macroeconomic and geopolitical uncertainties. Our 2023 EPS estimate is EUR7.50 (from EUR8.10) and 2024 EPS estimate is EUR8.00. HEI posted record results in 2022 as Group revenue grew 21% to an all-time high of EUR21.1 billion. HEI benefitted from strong price adjustments, compensating for lower volumes as higher energy and raw material prices impacted construction activity in 2022. HEI's EBITDA declined to EUR3.7 billion (-3% LFL) despite the higher revenue due to exceptionally strong comparative in 2021. For 2023, HEI is guiding for EBIT between EUR2.35 billion and EUR2.65 billion, with the wide range attributed to volatile energy and raw material pricing. / Adrian Ng, CFA

November 04, 2022
06:37 AM ET... CFRA Maintains Hold Opinion on Shares of Heidelberg Materials (HEI GR 46.46***):
We retain our Hold opinion on Heidelberg Materials (HEI) with the same target price of EUR55, implying a 2023 P/E of 6.8x, which is a discount to its P/E historical averages, as we think the strong recovery story is offset by the threat of greater geopolitical tensions, rising interest rates, and supply chain constraints. 9M 2022 revenue grew 12.3% year-over-year (Y/Y) on a like-for-like basis (LFL), with price adjustments offsetting lower volumes in all product lines due to consolidation and the impact of the war in Ukraine. The results are within our expectations, and we remain neutral on HEI despite strong results given how intertwined its business is with global economic growth. HEI recently rebranded itself as Heidelberg Materials (from HeidelbergCement) to reflect its role as a broader supplier to the construction industry. / Adrian Ng, CFA

July 29, 2022
08:46 AM ET... CFRA Maintains Hold Opinion on Shares of HeidelbergCement (HEI GR 47.87***):
We retain our Hold opinion on HeidelbergCement (HEI) with the same target price of EUR55, implying a 2022 P/E of 6.8x, which is a discount to its P/E historical averages, as we think the strong recovery story is offset by the threat of greater geopolitical tensions, rising interest rates, and supply chain constraints. H1 2022 revenue grew 11.6% year-on-year (Y/Y) on a like-for-like basis (LFL) with price adjustments offsetting slightly lower volumes in all product lines. In North America, volumes were relatively stable across business lines; in Europe, revenue growth was mostly driven by pricing impact; in Asia Pacific, there was some volume growth but pricing is less positive vs. other regions; and Africa – Eastern Mediterranean also had uneven demand. HEI's EBITDA declined significantly (-11.8% LFL) on the strong comparative from H1 2021 and inflationary pressure. We lower our 2023 EPS estimate to EUR8.10 (EUR8.60), accounting for some divestments and cost increases. / Adrian Ng, CFA

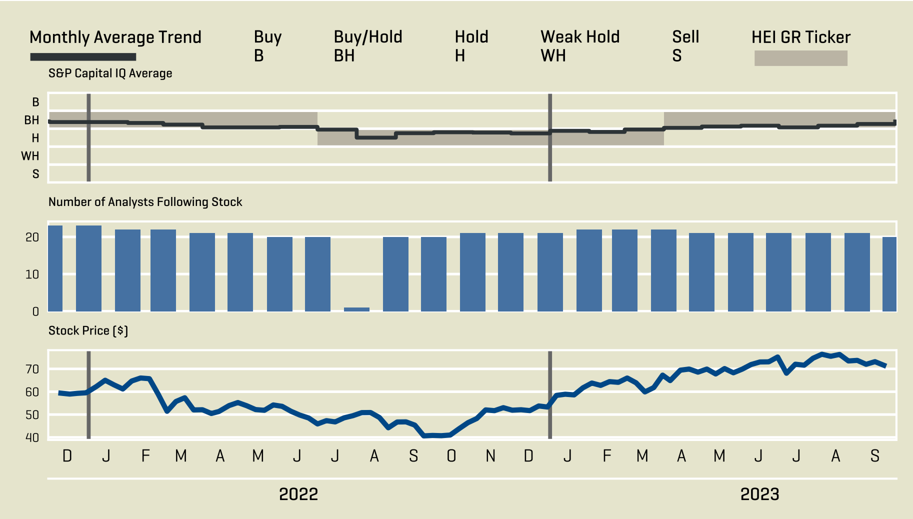
May 13, 2022
11:23 AM ET... CFRA Maintains Hold Opinion on Shares of HeidelbergCement (HEI GR 52.18***):
We retain our Hold opinion on HeidelbergCement (HEI) with the same target price of EUR55, implying a 2022 P/E of 6.8x, which is a discount to its P/E historical averages, as we think the strong recovery story is offset by the threat greater geopolitical tensions, rising interest rates, and supply chain constraints. We lower our 2022 EPS estimate to EUR8.1 (EUR8.7) and our 2023 EPS estimate to EUR8.6 (EUR9.3) accounting for some divestments and cost increases. Q1 2022 revenue grew 13% year-on-year (Y/Y) on a like-for-like basis (LFL) with growth in volumes for cement, aggregates, and ready-mixed concrete. HEI's EBITDA declined significantly (-26.9% LFL) on the exceptionally strong comparative from Q1 2021 and continuing inflationary pressure. The pricing trend continues to be positive for the company while it changed its energy forward buying policy. / Adrian Ng, CFA

February 25, 2022
05:23 AM ET... CFRA Lowers Opinion on Shares of HeidelbergCement to Hold from Buy (HEI GR 55.64***):
We lower our opinion on HeidelbergCement (HEI) to Hold from Buy with a lower 12-month target price of EUR60 (EUR80), implying a 2022 P/E of 6.9x, which is a discount to its P/E historical averages, as we think the strong recovery story is offset by the threat of greater geopolitical tensions, rising interest rates, and supply chain constraints. 2021 revenue grew 8% year-on-year (Y/Y) on a like-for-like basis (LFL) with a 5.9% LFL increase in EBITDA. Volumes rose in most of its product segments but declined slightly in asphalt. Overall, revenues in the year were driven by price increases. HEI remains positive on 2022, and is guiding for strong revenue increase with slight increases in EBITDA and EBIT and a 9% ROIC. We raise our 2022 EPS estimate to EUR8.7 (EUR8.4) and introduce a 2023 EPS estimate of EUR9.3. While we like HEI's pricing power, we think it will be facing a tougher 2022 given the tenuous geopolitical situation, rising interest rates, and supply chain constraints. / Adrian Ng, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

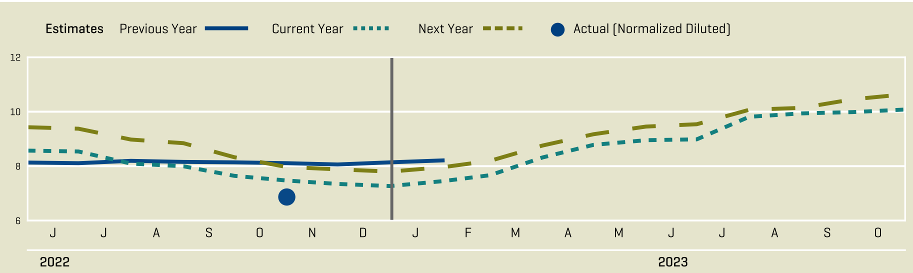
Heidelberg Materials AG

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	8	40	8	6
Buy/Hold	3	15	3	3
Hold	8	40	8	10
Weak hold	1	5	1	1
Sell	0	0	1	1
No Opinion	0	0	0	0
Total	20	100	21	21

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	10.64	11.47	9.22	15	6.34
2023	10.07	10.87	8.53	15	6.70
2024 vs. 2023	**▲ 6%**	**▲ 6%**	**▲ 8%**	**N/A%**	**▼ -5%**
Q3'23	3.35	3.35	3.35	1	20.15

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that HEI GR will earn EUR 10.07. For fiscal year 2024, analysts estimate that HEI GR's earnings per share will grow by 5.63% to EUR 10.64.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A	Above	C	Lowest
B+	Average	D	In Reorganization
NC	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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